dominance. It made minor reforms in public-sector policy but barely touched small industry policies, including reservations of small scale.

IP-1991 Dismantled Reservation for the Public Sector

The most important reform of IP-1991 was to terminate reservation for the public sector, thereby permitting the entry of the private sector in almost every industrial activity. This opened the doors for re-privatization of industry in the country.

IP-1991 reserved only eight industries for the public sector (Annexure I): arms and ammunition and allied items of defence equipment, defence aircraft and warships; atomic energy; coal and lignite; mineral oils; mining of iron ore, manganese ore, chrome ore, gypsum, sulphur, gold and diamonds; mining of copper, lead, zinc, tin, molybdenum and wolfram; minerals specified in the Schedule to the Atomic Energy (Control of Production and Use) Order, 1953; and railway transport. By separate notifications over the years, the reservation of these industries for the public sector has almost been completely abolished. Only two industries are currently reserved: railway operations (private investment is permissible in construction, operation and maintenance activities) and atomic energy (production, separation and enrichment of special fissionable materials and substances and operations of the facilities). Even for railway operations, under public-private partnership (PPP) arrangements, private-sector entry has been permitted in the operation of both freight and passengers.

The most myopic industrial policy—the exclusive reservation of the public sector and exclusion of the private sector—was completely reformed. This has led to private-sector investment far exceeding public-sector investment in many hitherto reserved industries, including iron and steel, oil and gas, major minerals and power. This is proof that the policies of 1948 and 1956 deprived the country of the benefit of private enterprise and investment in a large segment of manufacturing and industries.